



MUSIC HABITAT · FRIENDS & FAMILY ROUND · THE CIRCLE 35

TERM *Sheet*

Non-binding summary of proposed terms for the Friends & Family priced round. For discussion purposes only. Not an offer to sell securities.

F&F PRICED ROUND

IDENTITY & STRUCTURE

ISSU ER	Music Habitat Corp. a Montana corporation
ROUND	Friends & Family Priced Round · The Circle 35
EXEMPT ION	Rule 506(b) of Regulation D — Private offering · No general solicitation
ELIGIBLE INVESTORS	Up to thirty-five (35) · Pre-existing substantive relationships only
SECURITY OFFERED	Class B Preferred Shares — direct equity purchase at fixed price

ECONOMICS

PRE-MONEY VALUATION	\$10,000,000
TOTAL SHARES DECLARED	10,000,000 across all classes (Class A · Class B · Class C)
SHARE PRICE	\$1.00 per share (fixed)
WARRANT COVERAGE	3× Purchased Shares at 95% of FMV
WARRANT EXERCISE	Nine (9) months from grant date
MINIMUM INVESTMENT	\$500 per investor (500 shares)
MAXIMUM INVESTMENT	\$25,000 per investor (25,000 shares)
AGGREGATE RAISE TARGET	\$250,000 target (Circle 35 aggregate)

RIGHTS & PROTECTIONS

VOTING	Class A: 15 votes/share (Founder) · Class B: 1 vote/share · Class C: none
PARI PASSU	Class B at all times pari passu with Class A on economic entitlements
INFORMATION RIGHTS	Unaudited quarterly within 45 days · Annual within 90 days
PREEMPTIVE RIGHTS	Pro-rata participation on future equity issuances
TAG-ALONG · DRAG-ALONG · ROFR	Per Stockholders' Agreement

CLOSING & DOCUMENTS

DEFINITIVE DOCUMENTS	Stock Purchase Agreement · Subscription Agreement · Stockholders' Agreement · Operating Agreement · Warrant Agreement
CAP TABLE PLATFORM	Carta (carta.com)
GOVERNING LAW	State of Montana · AAA binding arbitration, Missoula, MT
USE OF PROCEEDS	AI · Tech R&D · UX UI · Product Design · Marketing · Launch · Operations · Legal
EXPECTED CLOSING	[_____, 2026]